TOPIC 2 · AUSTRALIA'S PLACE IN THE GLOBAL ECONOMY

Australian Financial Review (Ronald Mizen)
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US tech giants push for trade retaliation over Australia's news levy

> Meta, Google and other platforms claim Australia's News Bargaining Incentive breaches the Australia–US Free Trade Agreement. Their lobby group wants Washington to investigate, at a time when the US has already put tariffs on Australian goods.

WHAT HAPPENED

- Under the News Bargaining Incentive (NBI), big platforms must either do deals with Australian news publishers or pay a levy of 2.5% of their Australian digital advertising revenue.
- The government expects the levy to raise $1.85b over four years, including $550m in 2026–27.
- Meta, TikTok and Microsoft did not negotiate with publishers. Google had some deals it can use to offset its bill.
- The CCIA has asked US Trade Representative Jamieson Greer to investigate breaches of AUSFTA, targeting the NBI and the local content quotas on streaming services.
- The US already put a 12.5% tariff on Australian imports this year after an investigation into forced-labour imports. Canada dropped its digital tax last year under similar US pressure.

AUSFTA: the Australia–United States Free Trade Agreement (in force since 2005)

Retaliation: trade measures imposed in response to another country's policies

2.5%
Levy rate on platforms' Australian digital ad revenue if no deals are struck

$1.85b
Expected levy revenue over the first four years

12.5%
Existing US tariff on Australian imports

COMPARE The News Bargaining Incentive: two views

Platforms and the US say

- It is a **discriminatory tax** on US firms
- It **breaches AUSFTA** commitments
- It distorts internet markets and **concentrates media**

The Australian government says

- It funds **public-interest journalism** (a merit good)
- Platforms earn ad revenue from news they don't pay for
- It is a **domestic policy** choice open to any sovereign country

Exam angle: This is a good example of how **trade agreements limit domestic policy**, and of trade being used as **leverage** in disputes that go beyond tariffs, such as digital regulation and services.

SYLLABUS LINK

Topic 2 – Trade agreements and trade policy affecting Australia; Topic 1 – Trade disputes and protection in services and digital trade.

TRY THIS

1. Explain how a trade agreement can constrain a country's domestic economic policy. **(4 marks)**
2. Discuss the risks to the Australian economy of the US retaliating over the news levy. **(6 marks)**

Read more: AFR – Tech giants seek US trade retaliation over Australian media levy (5 Nov 2026)

Summary written in our own words for classroom use